

Beijing's latest retaliation keeps summit door open

送信者: EG China 受信日時: 2026-08-06 07:29

【メール原文】

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Beijing deepens retaliation while keeping summit door open

5 Aug 2026 18:23 EDT [Discover more on the Portal](#)

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China's broadest trade retaliation since the October 2025 truce for the first time sanctions US compliance and audit firms that enforce the Uyghur Forced Labor Prevention Act (UFLPA)—a precedent with significant implications for US businesses operating in China.

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By sanctioning UFLPA compliance and audit enablers and tightening dual-use export controls on drones, Beijing is raising enforcement costs for US firms while keeping measures reversible ahead of bilateral talks.

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While President Xi Jinping's visit to the US is still on track, possible actions by President Donald Trump's administration to curb use of Chinese AI models or restrict cloud chip access will determine the durability of the truce and whether the summit takes place as planned.

The scale of this coordinated action reflects the breadth of recent US measures. Beijing is responding to two recent US actions targeting China. The first is Federal Communications Commission (FCC) restrictions on Chinese products and technologies from mid-2025 until as recently as 28 July this year, including restrictions on Chinese telecom companies and equipment components, undersea cable operations, testing laboratories, drones, routers, advanced robotics, and power inverters (see: [Beijing will retaliate if US tightens tech controls](#) , 30 July 2026). The second is the US Department of Homeland Security's record expansion of the UFLPA Entity List on 31 July, which added 43 Chinese entities.

China's Ministry of Commerce (MOFCOM) explicitly framed its response around the failure of recent bilateral dialogue to stop these measures, noting that the UFLPA expansion came just one day after lead trade negotiators held a dialogue on 30 July.

Calibrated retaliation targets US pain points while preserving diplomatic off-ramps. The toughest steps in the form of countermeasures-list sanctions hit supply-chain compliance, origin-tracing, and audit firms that help enforce UFLPA, as well as a laboratory testing company that lobbied the FCC to bar Chinese labs from testing products destined for the US market. This marks the first time that Beijing has formally placed a set of UFLPA-enforcement enablers on its counter-sanctions list, setting a precedent for future retaliatory actions against UFLPA enforcement.

The retaliatory measures will likely have a mixed impact on US organizations. Human rights advocacy groups and other entities with limited direct exposure to China will probably face little material harm. By

contrast, firms with operational or commercial ties to China will face much greater disruption, especially if Chinese entities deny them auditing access or refuse to cooperate. The tighter controls on drone-related dual-use technologies could pressure less-diversified US suppliers that might otherwise have benefited from the FCC's restrictions on new Chinese drone models.

Beijing is also testing a new legal tool by debuting a national security investigation under the Foreign Trade Law, targeting imported printing and copying equipment that uses foreign software. If the probe leads to a software restriction, its effect is analogous to the US Bureau of Industry and Security's Information and Communications Technology and Services rule on Chinese software in connected vehicles. Further US actions could prompt China to use this mechanism to investigate additional sectors, products, and technologies. The investigation's open-ended design—including an extendable 12-month timeline—gives Beijing flexibility to calibrate the outcome against broader bilateral developments.

Beijing's objectives are primarily to deter further US actions. It wants to impose visible costs on US entities to signal that it will respond to measures targeting Chinese interests even if the trade truce remains intact. China also wants to deter further US escalation by raising the expected cost of additional measures. Finally, China leaves the door open for these measures to be negotiated away in the lead-up to the September summit, but only if Washington is willing to engage.

Xi's visit remains on track, but Washington's next moves—including on AI models—are now the key variable. Diplomatic off-ramps remain open. MOFCOM has signaled that China's ultimate intention remains restraint and that it is willing to de-escalate. The timing of these countermeasures also matters, as Xi's scheduled visit to the US is still seven to eight weeks away. This leaves both sides time to stabilize the relationship before the summit.

The crucial test of China's deterrence strategy is whether the US announces further measures before the summit. FCC restrictions on Chinese data-center equipment are reportedly under consideration but are unlikely to derail Xi's visit. More aggressive actions—restricting Chinese open-weight AI models or curbing Chinese firms' chip access through cloud services—would signal a step change in the administration's approach and put the truce at risk (see Practice Letter Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026). We expect Washington to hold back from taking truce-breaking measures ahead of Xi's visit, knowing that they could drive a delay or cancellation of the summit.

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